keep the assets of individuals in electronic form. Electronic funds transfer (EFT), digital gold currency, virtual currency and direct deposit are all examples of electronic money. Electronic funds transfer (EFT) is the electronic exchange of money between two accounts through computer-based systems. This includes online payments, debit card payments, ATM withdrawals, direct deposits, wire transfers and the like. Another application of electronic money is in e-commerce, and businesses such as PayPal mediate the transfer. Clearly any attack on such a system would allow wipe out national economies in the blink of an eye. The significance of integrity in such a system is staggering.

The key property of cash is anonymity: when you take money out of the bank, the bank gives you the cash without knowing what you do with that money. The merchant doesn't know who you are or ask for your credentials when you pay in cash. On the other hand, when you buy something with a credit card, you have to tell the merchant who you are, and you have to tell the credit card company who you're purchasing from. Anonymity is not maintained thus failing to protect your privacy. Concerns that anonymity in e-money could encourage tax evasion and money laundering led to demands by various institutions for digital cash to be traceable. This called for an elaborate method of encryption so that the information wouldn't get into the wrong hands.